

Financial Portfolio & Risk Analytics

Detailed Business Analysis Report

Analysis period: 12 Sep 2025 – 11 Sep 2026 | **Initial capital:** ₹10,00,000

Objective: Evaluate portfolio performance, risk, diversification, benchmark performance, and market behavior using NSE-derived equity data, NIFTY 50, and India VIX.

1. Executive Summary

The hypothetical ₹10 lakh portfolio ended the analysis period at ₹8,90,018.90, producing a total return of –11.00% and a loss of ₹1,09,981.10. The portfolio underperformed the NIFTY 50, which returned –6.83% over the comparable one-year benchmark period, by 4.17 percentage points. The primary drag came from the IT allocation, particularly TCS and INFY. TITAN was the strongest stock, but its relatively small portfolio weight limited its ability to offset larger losses elsewhere.

Risk analysis indicates meaningful downside exposure: annualized volatility was 14.70%, maximum drawdown was –18.68%, 95% one-day historical VaR was –1.47%, and the Sharpe-like ratio was –0.74 using a 0% risk-free-rate assumption. The portfolio was diversified across 10 stocks and 7 sectors, with an HHI of 0.1155 at the stock level; however, Banking and IT together accounted for 55.25% of invested capital, creating meaningful sector concentration.

2. Portfolio Construction

Metric	Value
Initial capital	₹10,00,000
Invested amount	₹9,86,343.35
Unused cash	₹13,656.65
Number of stocks	10
Number of sectors	7
Portfolio period	12 Sep 2025 – 11 Sep 2026

3. Stock Performance

Rank	Stock	Return
1	TITAN	+40.25%
2	SBIN	+20.90%
3	LT	+9.80%
4	BAJFINANCE	+3.11%
5	ICICIBANK	–2.71%
6	RELIANCE	–9.86%
7	HDFCBANK	–26.78%
8	TCS	–29.76%
9	INFY	–31.98%
10	ITC	–37.20%

Insight: TITAN was the strongest performer at +40.25%, while ITC was the weakest at –37.20%. The two IT stocks, TCS and INFY, were among the largest negative-return holdings and became the dominant source of portfolio losses.

4. Stock and Sector Contribution

Sector	Portfolio P/L
Consumer	+■18,688.80
Industrials	+■9,474.30
Financial Services	+■3,093.75
Energy	–■14,712.50
FMCG	–■18,468.00
Banking	–■32,511.75
IT	–■75,545.70

Insight: IT produced the largest sector-level loss at approximately ■75.5K. Banking was the second-largest negative contributor at approximately ■32.5K. Consumer and Industrials were the strongest positive contributors. This demonstrates why sector-level analysis is important even when individual-stock concentration is relatively low.

5. Portfolio Performance

Metric	Result
Starting value	■10,00,000
Ending value	■8,90,018.90
Total return	–11.00%
Annualized return	–11.03%
Annualized volatility	14.70%
Maximum portfolio value	■10,64,855.65
Minimum portfolio value	■8,65,938.90

6. Monthly Performance

Month	Return
Sep 2025	–2.72%
Oct 2025	+5.01%
Nov 2025	+2.88%
Dec 2025	+0.15%
Jan 2026	–4.01%
Feb 2026	–0.83%
Mar 2026	–10.66%
Apr 2026	+5.04%
May 2026	–5.13%
Jun 2026	+1.68%
Jul 2026	+4.02%
Aug 2026	–3.02%
Sep 2026	–3.54%

Best month: April 2026 at +5.04%. **Worst month:** March 2026 at −10.66%. The March decline was materially larger than the positive monthly gains, contributing to the overall negative result.

7. Risk Analysis

Risk metric	Result	Interpretation
Daily volatility	0.9261%	Typical daily variability of portfolio returns
Annualized volatility	14.70%	Annualized estimate of return variability
Maximum drawdown	−18.68%	Largest peak-to-trough decline
Sharpe-like ratio	−0.74	Negative risk-adjusted performance at 0% risk-free assumption
95% 1-day historical VaR	−1.47%	Historical one-day loss threshold at 95% confidence

The portfolio's maximum drawdown of −18.68% indicates that the portfolio experienced a substantial temporary loss from a previous peak. The historical VaR of −1.47% implies that, within the historical sample, approximately 5% of observed non-first trading days had returns worse than this threshold. VaR is not a guarantee and does not describe the size of losses beyond the threshold.

8. Portfolio Concentration and Diversification

Sector	Actual weight
Banking	30.27%
IT	24.98%
Energy	15.13%
Financial Services	10.07%
Industrials	9.80%
FMCG	5.03%
Consumer	4.71%

Stock-level concentration: HHI = 0.1155, close to 0.10, the HHI of a perfectly equal 10-stock allocation. This indicates relatively low individual-stock concentration. **Sector-level concentration:** Banking and IT together represented 55.25% of invested capital. Therefore, the portfolio is diversified by number of holdings but still meaningfully exposed to a small number of sectors.

9. Benchmark Analysis

Metric	Portfolio	NIFTY 50
One-year return	−11.00%	−6.83%
Excess return	−4.17 pp	—

The portfolio underperformed the NIFTY 50 by 4.17 percentage points. Because the benchmark dataset currently covers only the same one-year period as the portfolio comparison, conclusions should not be extended to the full five-year stock-history window.

10. Market Sensitivity — Stock Betas

Stock	Beta
BAJFINANCE	1.49
LT	1.44
HDFCBANK	1.26
SBIN	1.09
TITAN	1.01

RELIANCE	0.94
ICICIBANK	0.93
TCS	0.82
INFY	0.75
ITC	0.67

BAJFINANCE had the highest estimated beta at 1.49, indicating greater historical sensitivity to NIFTY movements. ITC had the lowest at 0.67, indicating lower market sensitivity. Beta describes historical co-movement/sensitivity and should not be interpreted as a guaranteed response to future market moves.

11. VIX and Portfolio Relationship

The portfolio's daily returns showed approximately -0.66 correlation with daily India VIX returns. This indicates a moderately strong inverse relationship: days with rising market-volatility measures generally coincided with weaker portfolio returns. The metric is a correlation, not causation, and it measures changes in VIX rather than the VIX level itself.

12. Trading Activity and Unusual Events

Stock	Date	Daily return	Volume
ITC	1 Jan 2026	-9.71%	282.6M
TCS	3 Jun 2026	-8.39%	15.7M
BAJFINANCE	31 Jul 2026	$+8.32\%$	40.8M
LT	8 Apr 2026	$+7.59\%$	7.4M
LT	13 Mar 2026	-7.54%	10.8M
SBIN	9 Feb 2026	$+7.46\%$	40.9M

The most notable event was ITC on 1 Jan 2026: a -9.71% daily move occurred alongside 282.6 million shares traded, which was also the highest-volume observation in the portfolio-period query. This is a useful candidate for event investigation. High volume and a large price movement establish co-occurrence, not causation.

13. Key Business Findings

1. The portfolio failed to preserve capital, ending at $\text{₹}8,90,018.90$.
2. Underperformance versus NIFTY was 4.17 percentage points.
3. IT was the largest negative sector contributor, driven by TCS and INFY.
4. TITAN was the strongest stock, but its small weight limited its overall portfolio impact.
5. Banking and IT represented 55.25% of invested capital, creating meaningful sector concentration.
6. The portfolio's stock-level HHI of 0.1155 suggests relatively low individual-stock concentration.
7. Maximum drawdown of -18.68% highlights material downside risk.
8. Historical one-day 95% VaR was -1.47% , or approximately $\text{₹}14,700$ relative to $\text{₹}10$ lakh initial capital.
9. The -0.66 VIX-return correlation indicates that higher daily volatility was generally associated with weaker portfolio returns.
10. Large price movements sometimes coincided with very high trading volume, providing candidates for event-driven investigation.

14. Recommended Power BI Story

Portfolio Overview: KPI cards for portfolio value, total return, NIFTY return, excess return, and maximum drawdown; cumulative portfolio-vs-benchmark line chart; monthly return chart.

Risk Analysis: volatility, drawdown, VaR, Sharpe, risk-contributor ranking, and stock beta table.

Portfolio Composition: actual stock weights, sector allocation, HHI/concentration KPI, and sector contribution chart.

Market Analysis: VIX vs portfolio-return relationship, unusual price-movement table, and highest-volume trading events.

15. Methodology and Limitations

- Stock prices were analyzed using adjusted prices to account for identified corporate actions involving BAJFINANCE, RELIANCE, and HDFCBANK. Raw source data was retained separately.
- The benchmark and India VIX datasets currently cover approximately one year, so benchmark-relative conclusions are limited to that period.
- The Sharpe-like calculation assumes a 0% risk-free rate rather than subtracting an external risk-free series.
- The risk-contribution metric is a simplified weight × volatility proxy; it is not a full covariance-based component-risk decomposition.
- Historical VaR is sample-dependent and does not predict the exact size or probability of future losses.
- Beta and correlation describe historical relationships and do not establish causation or guarantee future behavior.
- Whole-share portfolio construction creates small differences between target and actual weights because fractional shares were not used.

16. Final Analyst Conclusion

The analysis indicates that the portfolio's main weakness was not a lack of individual-stock diversification, but the combination of negative performance in heavily allocated sectors—especially IT and Banking—and insufficient contribution from smaller positive positions. The portfolio experienced meaningful downside risk and underperformed its benchmark. A decision-maker reviewing the portfolio would therefore focus on sector allocation, downside-risk controls, and the balance between high-conviction positions and diversification. The Power BI dashboard should make these relationships visible rather than presenting isolated metrics.